

Succession Planning Policy

Succession Plan

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Policy Owner	Human Resources — Organisation and Talent Development
Approved By	Board of Directors and the Nomination and Remuneration Committee
Review Cycle	Every 12 months, aligned with the annual performance review cycle

1. Purpose

Example Business Public Company Limited recognises the importance of leadership continuity and long-term organisational stability. This policy establishes a systematic, transparent, and fair succession planning process to ensure the organisation has capable talent ready to assume critical positions on an ongoing basis, to reduce the risk of leadership gaps, and to support the sustainable development of employee potential.

2. Scope

This policy covers senior executive positions, middle management positions, and Critical Positions across all business functions of the Company — that is, positions whose sudden vacancy would materially impact business operations. The Human Resources Department will announce the list of positions falling within this scope annually.

3. Definitions

Term	Meaning
Critical Position	A position with a high impact on the organisation's strategy or operations should it become vacant unexpectedly
Successor	An employee identified as having the potential to be developed to fill a critical position in the future
Talent Pool	A group of employees assessed as having outstanding performance and potential
Individual Development Plan (IDP)	A personalised plan to develop the skills and capabilities needed to prepare an employee for a target position

4. Guiding Principles

- Merit-based selection is the primary criterion for identifying successors

- The process is conducted transparently, is auditable, and is free from bias or discrimination
- Diversity of gender, age, and background within the successor pool is actively promoted
- Succession plans are aligned with the organisation's long-term strategy and business direction
- Confidentiality of assessment results and successor lists is strictly maintained

5. Succession Planning Process

Step 1: Identify Critical Positions

The Human Resources Department, together with functional executives, reviews and identifies critical positions annually, considering business impact, difficulty of replacement, and the risk to operational continuity.

Step 2: Assess Candidate Potential

Employees are assessed using a 9-Box Grid, which evaluates both Performance and Potential, supplemented by in-depth interviews and 360-Degree Feedback assessments.

Step 3: Develop Individual Development Plans

For employees identified as successors, the Human Resources Department, together with their manager, prepares an Individual Development Plan, which may include Job Rotation, special project assignments, mentoring, and leadership skills training.

Step 4: Monitor and Review Progress

Managers and Human Resources monitor successor progress quarterly and adjust development plans in line with progress made and changes in the business environment.

Step 5: Approval and Plan Updates

Succession plans for senior executive positions must be approved by the Board of Directors and are reviewed and updated annually in line with business performance and organisational strategy.

6. Successor Selection Criteria

Assessment Factor	Details
Performance History	Performance ratings of good to excellent over at least the past 3 years
Leadership Potential	Ability in decision-making, team management, and strategic communication
Readiness of Knowledge and Skills	Specialised knowledge required for the target position and management capability
Values and Organisational Culture	Consistent demonstration of the organisation's core values
Mobility and Flexibility	Willingness to relocate or move across functions different from the current role

7. Successor Readiness Levels

Each successor is classified by readiness level, used for development planning and communication with management:

Readiness Level	Definition	Development Approach
Ready Now	Able to assume the position immediately if it becomes vacant	Assign projects to build readiness for senior decision-making
Ready in 1–2 Years	Requires further development of specific skills or experience	Job rotation and broader scope of responsibility
Ready in 3–5 Years	Has potential but requires sustained development over time	In-depth training and long-term mentoring

8. Roles and Responsibilities

Role	Responsibilities
Board of Directors	Approves succession plans for senior executive positions and reviews results annually
Chief Executive Officer (CEO)	Sets the strategic direction of the succession plan in line with organisational goals
Human Resources	Designs the process, maintains records, and coordinates the assessment and development of successors
Line Managers	Identify and assess the potential of direct reports and support development in line with individual plans

9. Confidentiality of Information

Assessment results, successor lists, and individual development plans are treated as confidential information. They will be disclosed only to relevant personnel on a need-to-know basis, in order to protect employee morale and maintain fairness in the talent management process.

10. Communication with Employees

The Company will communicate the general principles and process of succession planning to employees as appropriate, to build understanding and motivation for self-development, without necessarily disclosing the names of individual successors.

11. Plan Review Cycle

The Human Resources Department reviews the succession plan annually, in line with the annual performance review cycle, and presents the review outcomes to the Board of Directors for consideration of updates to keep the plan current.

12. Policy Review

This policy will be reviewed at least once a year, or whenever there is a significant change in organisational structure, business strategy, or talent management practices that affects this policy.

This document is mock data prepared solely for training and system-testing purposes and does not constitute an actual, legally binding policy.